

Thomas Phelps and his book *100 to 1 in the Stock Market*. Phelps's book is one of Akre's favorites. So I was glad to spend some time with him and members of his team — Tom Saberhagen, Chris Cerrone and Ben Fox. We went to lunch at the Red Fox Inn & Tavern, which has been around since 1728 and is only about 400 feet from his office.

Akre, as I mentioned, had a couple of 100-bagger stocks in his portfolio.

He bought Berkshire Hathaway stock back in 1977, paying \$120 per share. Each share is now worth an astonishing 1,750 times what he paid.

Here's a funny story about this. On my way out, Tom, who is a portfolio manager and partner of the firm, gave me that bound copy of Akre's letters.

This is unputdownable reading for me. I love this kind of stuff and read these things like other people read novels.

In a 1995 letter, Akre tells the story of how when he was a young broker, he bought a share of Berkshire. He went on to accumulate about 40 shares. Then he decided in 1981 to get into real estate. He had a condo-conversion project and needed the money. So he sold all his shares save one for \$500 per share. Of course, that turned out to be one super expensive project. Those 39 shares — worth \$19,500 back then — would be worth \$8.1 million today.

The other 100-bagger is American Tower, spun off from American Radio back in 1998. Akre paid about 80 cents for each of his first shares, and they are now worth \$93 per share. This stock he still had as of our meeting, and it was his largest position, according to filings.

Akre's approach is simple and easy to understand. He calls it his three legged stool. He looks for

- businesses that have historically compounded value per share at very high rates;
- highly skilled managers who have a history of treating shareholders as though they are partners; and
- businesses that can reinvest their free cash flow in a manner that continues to earn above-average returns.

We've talked about all of these in this book.